

- Lesson: Watch other stocks in the same industry for insights of how your trade may unfold.

EMC Corp.

After a nice rise from 9 to 15, EMC Corp. (EMC) formed the left lip of a cup with handle at the start of 2005. The cup completed the right handle in June. The bottom would have looked at like a complex-head-and-shoulders bottom (multiple heads) if price didn't spike downward for 2 days in April.

Here's my notebook: "Buy reason: A perfect cup with handle. I'm buying before confirmation because I feel strongly about this one. On the weekly chart, the Jan 2005 peak pokes through a long-term down trendline. If this stock can finally push through that resistance, the sky's the limit. I might buy more if that happens. Score +3 for 18.19 target. Only 2 problems: a weak market and lack of confirmation yet. Before the open on 7 July 2005, terrorists exploded four bombs in London. I thought that would cause the stock to gap lower on the open and then recover through the day. It turns out I was right as I got a fill (14.22) much lower than yesterday's close (14.48)."

A week later, I was out. "Sell reason: I believe this has formed a lower high. That suggests a short-term trend change. Since I have a profit, I thought I'd cash out now and wait for it to go down, then recover. When it breaks out of the long-term down trendline, then it might be worth another look."

I made 2% on the trade, but it was a good thing I sold. The stock tumbled and broke out downward from the cup pattern, bottoming at 9.44 or 35% below where I sold. My instincts on this trade were good.

- Lesson: Sometimes when price fails to follow through to a new high, it means a trend change.

CNO Financial

This trade was a mistake. CNO Financial (CNO) started forming a cup with handle in October 2009. In March 2010, the stock completed building the right rim. Then it went to work on the handle. It completed the handle in the middle of April when I bought. "Buy reason: Possible cup with handle, good profit potential for a long-term hold (3×) [triple my investment] and